

**IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF
SRI LANKA**

*In the matter of an Application for
Orders in the nature of Writs of
Certiorari, Prohibition and
Mandamus under Article 140 of the
Constitution of the Democratic
Socialist Republic of Sri Lanka.*

Ceylon Liquor Holdings (Pvt) Ltd,
No. 196A/1,
Sangabo Mawatha,
02nd Galawilawatta,
Homagama.

CA (Writ) App. No. 670/2024

PETITIONER

Vs.

1. Kavitha Uthayakumara,
Divisional Secretary,
Divisional Secretariat,
Valikamam West,
Chankanai.
2. Commissioner General of Excise,
Department of Excise,
No. 353, Kotte Road,
Rajagiriya.
3. Hon. Attorney General,
Attorney General's Department,
Hulfsdorp,
Colombo 12.

RESPONDENTS

Before: M.C.B.S. Morais, J.

Dr. D. F. H. Gunawardhana, J.

Counsel:

Eraj de Silva, P.C., with Daminda Wijerathne, Nisith Abeysooriya and Naveed Ahamed
instructed by Dimuthu Kuruppuarachchi for the Petitioner.

Manohara Jayasinghe, D.S.G., and Medhaka Fernando, S.C., for the Respondents.

Argued on: 04.09.2026

Delivered on: 11.09.2026

Dr. D. F. H. Gunawardhana, J.

Judgement

Introduction

This Application arose due to the refusal to issue licence by the Divisional Secretary (the 1st Respondent), who carries out a duty under the Excise Ordinance, playing only an administrative or ministerial role, and thus, has no authority to take a decision or exercise discretionary power to withhold liquor licences, when the Commissioner General of Excise (the 2nd Respondent) has directed him to issue such R.B.4/F.L.4 licence.

The Petitioner makes a serious complaint against the Respondents whose actions and inactions not only affect the Petitioner, but also affects the entire environment, ecology, culture, and the Nation in total.

After issuance of formal notice, the Respondents filed their Objections, and thereafter, this was argued before me on 04.09.2026; hence, this judgement.

The Petitioner's complaint

The Petitioner, by his Petition, asserts that it is a body corporate incorporated under the Companies Act, No. 07 of 2007 of Sri Lanka, and that it was incorporated for the purpose of carrying on the business of wine stores at the address given in the caption.

Further, to establish its registered address as well as the Certificate of Incorporation, the relevant documents are annexed to the Petition and marked as **P1(A)** and **P1(B)**.

The Petitioner further asserts that it became aware, in 2024, there had been notices published by the Department of Excise calling for applications for the issuance of new liquor licences. Upon becoming aware of the said advertisement and the calling for applications, the Petitioner,

having paid the due fees to obtain an application form from the Department of Excise, obtained an application. The said application and several advertisements are marked as **P2(1)** to **P2(3)**.

Having duly filled the application and submitted the relevant supporting documents, the same was submitted to the 2nd Respondent for the purpose of processing the application and issuing the licence.

The Petitioner further asserts that along with the application, it submitted the Certificate of Incorporation, the plan of the building where it proposed to carry on the business of the wine store, and also the plan of the area to establish that there were no places of worship or schools within a radius of 100 metres from the said place proposed for carrying on the business. It also submitted certificates issued by the Police, the Excise Department and the Divisional Secretariat to establish that none of the directors of the Petitioner had ever been convicted of any offence under the Penal Code, the Excise Ordinance or any other law.

In addition to that, the Petitioner submitted the certificate of the Divisional Secretariat certifying that the Petitioner was a suitable entity for the issuance of the licence.

However, after submitting the application to the 2nd Respondent, the 2nd Respondent called for a report; while the report was called from the 1st Respondent by the 2nd Respondent, there had been objections raised by certain parties.

Subsequently, the said objections were inquired into by an officer of the Excise Department, who was a subordinate officer to the 2nd Respondent. After considering the objections and conducting the inquiry, and since the objections were found to be baseless, the Petitioner was cleared of any impediment. As such, the 2nd Respondent, having processed the application, decided to issue the same accordingly. Thereby, he issued the letters marked as **P5(1)** to **P5(5)** to the 1st Respondent, directing the issuance of the licence through the subordinate officer of the Excise Department in charge of the area where the Petitioner intended to carry on his

business, and to the Officer-in-Charge of the Police Station of the area where the proposed liquor shop was situated.

Following this, the Petitioner was informed to pay the relevant fees. Accordingly, the Petitioner paid the licence fee and other relevant fees amounting to a sum of Rs. 10,800,000/- (Ten Million Eight Hundred Thousand Rupees), and the Petitioner annexed documents to establish the same, which are marked as **P6(1)** to **P6(4)**. However, the 1st Respondent thereafter refused to issue the licence.

Despite the attempts made by the Petitioner to obtain the licence, and having failed to do so, the Petitioner sought the intervention of this Court.

Objections

The Respondents filed their Statement of Objections, along with the documents annexed as **R1** and **R3**, in which certain circulars had been issued by the Secretary to His Excellency the President.

Arguments

When this matter came up for argument on 04.09.2026, the Counsel for the Petitioner of this Application, Eraj de Silva, P.C., was heard in support of the Application, and Mr. Manohara Jayasinghe was heard in opposition thereto. Mr. Manohara Jayasinghe's view was that, since licences had been issued in similar cases consequent to and *Writs of Mandamus* had been issued in those cases by this Court compelling the authority to issue licences in similar circumstances, the Respondents had no further objections to raise except to bring to the attention of Court the mere fact of the stay order given in the Fundamental Rights case.

However, upon being questioned, Mr. Jayasinghe's observation was that the stay order issued in the Fundamental Rights application by His Lordship Justice Kodagoda is not an impediment to the issuance of any licence if the law was properly followed.

Writ lies

In these circumstances, having considered the applications made by the Petitioner to obtain the R.B.4/F.L.4 licence in response to the advertisements made in **P2(1)** to **P2(3)**, the said application, submitted along with the supporting documents, was accepted on the basis that it was duly submitted, and **P4** was issued by the 2nd Respondent.

The 2nd Respondent then followed the proper procedure by calling for objections. Thereby, when objections were raised, the same were inquired into, and subsequently, the Petitioner was cleared of the said objections.

Having decided to issue the licence to the Petitioner, the 2nd Respondent issued the documents marked **P5(1)** to **P5(5)**, including a letter dated 22.05.2022, addressed to the 1st Respondent directing him to issue the licence, as the person empowered as the licensing authority, and to the Officer-in-Charge of the Excise Department of the area, and to the Secretary to the Ministry of Finance and the Secretary to the Ministry of Planning.

Thereafter, the Petitioner paid the relevant fees for the annual licence, including a one-time payment for obtaining the R.B.4/F.L.4 licence, the security deposit, access fee, and the security deposit for the AFL03 supplementary licence, as evidenced by the documents marked **P6(1)** to **P6(4)**.

The 1st Respondent is guilty

Nevertheless, since the 1st Respondent has failed to issue the licence; as such, it is my view that, in several cases, this Court itself has held that once the 2nd Respondent, being the final

authority under the Excise Department, decided to issue the licence, it has to be issued through the Divisional Secretary of the area where the particular licence holder intends to carry on the business.

Accordingly, in this case, the 1st Respondent is the one who should issue the physical licence. In this instance, he cannot exercise any discretion as to whether to issue the licence or not, once the direction is given by the final authority, namely, the 2nd Respondent, the Director General of Excise. Thus, his role in the process is merely administrative, whereby he has only to carry out the said duty entrusted to him by the 2nd Respondent, as the law requires him to perform.

Hence, refusing to perform such a duty amounts to a violation of the Act. Consequently, because of his conduct, the whole legal process had to be activated by the Petitioner, involving the expenditure of considerable money, time and resources, without obtaining the licence, for at least the last two years.

In view of the above, it is my view that a *Writ of Mandamus* should be issued against the 1st Respondent to issue the licence. I further hold that the 1st Respondent's decision and conduct in not issuing and withholding the licence would constitute conduct that is *ultra vires*, *capricious* and *irrational*.

It is also my view that the 1st Respondent is culpable of violating the duty entrusted to him and empowered upon him to carry out as an administrative function. Therefore, by failing to perform such duty, he has remained silent.

For the foregoing reasons, it is my view that he is responsible for such conduct and, as such, costs should be charged against him.

Conclusion

For the reasons adumbrated above, I grant relief as prayed for in prayers (b) and (c) of the Petition.

Accordingly, I order costs in the sum of Rs. 157,500/- (One Hundred and Fifty-Seven Thousand Five Hundred Rupees) payable by the 1st Respondent to the Petitioner.

JUDGE OF THE COURT OF APPEAL

M.C.B.S. Morais, J.

I agree.

JUDGE OF THE COURT OF APPEAL